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Advancing operational excellence for social good

22 CFR 228

Geographic codes
Source and nationality
Agricultural commodities
Motor vehicles
Pharmaceuticals

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Definitions

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Definitions

228.01

- **Commodity:** any material, article, supply, goods, or equipment
- **Source:**
  - ✓The country from which the item was shipped
  - ✓The country from which it was purchased
  - ✓If purchased from a bonded warehouse in country, the country from which it was originally shipped

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Scope and Application

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Scope and Application

228.02

- Applies to goods and services procured with USAID funds
- Does not apply to procurements made with non-project funds
- Does not apply to cost share contributions
- Does not apply to procurements made with program income

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Scope and Application

- Does not apply if procurement ***transactions*** are less than $25,000
- Waivers are possible for exceptions from these regulations
- Applies only to USAID funded projects

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Geographic Codes

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Geographic Codes

228.03

- **Code 937:** United States, cooperating/recipient country, developing countries
  - ✓Does not include advanced developing countries
  - ✓USAID determines which countries are considered advanced developing and developing
- Code 937 is the default authorized geo code unless otherwise specified in award

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Geographic Codes

228.03

- **Code 935:** Any area or country but excluding prohibited countries
  - ✓ Code 935 applies when procurement for the life of the award is less than $250,000
  - ✓ Code 935 is the authorized geographic code for waivers to the geographic code
- **Code 110:** New Independent States
  - ✓ Applies to projects under Support for Economic and Democratic Development of the Independent States of the Former Soviet Union

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Geographic Codes

228.03

- **Prohibited sources**
  - ✓ USAID provides guidance on which countries are considered prohibited sources in the list USAID maintains
  - ✓ Specific list is no longer provided in the regulations
- Check the Office of Foreign Assets Control (OFAC) for countries where there are US sanctions

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Geographic Codes

Country/Region	937	935
USA	Yes	Yes
Cooperating/Recipient Countries	Yes	Yes
Developing Countries	Yes	Yes
Advanced Developing Countries	No	Yes
Prohibited Sources OFAC (Sanctioned) Countries	No	No

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Source of Commodities

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Source of Commodities

228.11

- Source must be Code 937 unless another geo code is designated in the award
- Restricted goods must comply with special procurement rules regardless of assigned geographic code
- Imported goods from non-authorized geo code areas prohibited even if supplier is eligible
- Violations **will** result in disallowance of procurement costs

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Nationality of Suppliers

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Question 10

Nationality of suppliers

Which of these would be eligible to supply goods and services to a USAID funded project in Kenya that has Geo Code 937?

- A company in Malawi
- A company in China
- A caterer with dual citizenship in South Africa and the United States

Reference: 22 CFR 228.12

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Answer

Nationality of suppliers

Which of these would be eligible to supply goods and services to a USAID funded project in Kenya that has Geo Code 937?

- A company in Malawi - **Yes**
- A company in China - **No**
- A caterer with dual citizenship in South Africa and the United States - **Depends**

Reference: 22 CFR 228.12

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Foreign Government Controlled Organizations

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Foreign Government-Controlled Organizations

228.13

- Procurement is not permitted from commercial organizations and non-profits controlled by foreign governments
- Organizations not formed for commercial or business purposes are eligible to provide goods and services (e.g. ministries, universities)

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Nationality of Staff and Consultants

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Nationality of Staff and Consultants

228.15

- Rules on nationality do NOT apply to staff and consultants
- Staff and consultants must NOT be citizens or residents of prohibited sources countries

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Special Rules Requiring US Manufacture or Procurement

Restricted Items

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Special Rules Requiring US Manufacture or Procurement

228.19

- Certain items must be manufactured in and/or procured from the US regardless of authorized geo code:
  - ✓Agricultural items
  - ✓Motor vehicles
  - ✓Pharmaceuticals

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Special Rules Requiring US Manufacture or Procurement

228.19

Agricultural items:

Must be procured from the US

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Long Term Leases

228.01
228.18

- A single lease of more than 180 days
- Repetitive or intermittent leases under a single award that totals 180 days or more in a single year
- A single lease can be for one or more of same type of item

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Special Rules Requiring US Manufacture or Procurement

228.19
228.01

Motor vehicles:

- Must be manufactured in the US
- Brand name does not equate to US manufacture
- Vehicles under a long-term lease must be manufactured in the US
- US manufacture requirement does not apply to financing of transportation or driver services

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Special Rules Requiring US Manufacture or Procurement

228.19
228.01

Pharmaceuticals:

Must be manufactured in the US and procured from the US patent holder or a licensed manufacturer/supplier

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Question 11 Pharmaceuticals

Based on the definition of "pharmaceutical," which of these would be considered a pharmaceutical?

- Cod liver oil tablets
- Obstetric instruments
- Anesthesia drugs
- Sterilized medical gauze
- Cough and flu medicine
- Insulin provided to a diabetic person

Reference: 22 CFR 228.19

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Answer Pharmaceuticals

Based on the definition of "pharmaceutical," which of these would be considered a pharmaceutical?

- Cod liver oil tablets - **Yes**
- Obstetric instruments - **No**
- Anesthesia drugs - **Yes**
- Sterilized medical gauze - **No**
- Cough and flu medicine - **Yes**
- Insulin provided to a diabetic person - **yes**

Reference: 2 CFR 228.19

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Waivers

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Waivers

228.30, 31

- Waivers must be requested to the Agreement Officer
- The geo code for approved waivers is 935
- Waiver requests must be based on:
  - ✓ Items required are not produced in or available in authorized geo code
  - ✓ Meeting unforeseen circumstances
  - ✓ Promoting efficiency in use of resources
- Waivers can be requested based on commodity or service type instead of requesting repeated waivers

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Waivers

228.30, 31

- Waivers are not required for procurements of less than $25,000
  - Does not apply to restricted items

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22 CFR 228 Resources:

- Right hand drive blanket waiver
- Vehicle waiver guidance
- Pharmaceuticals waiver

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Tomorrow:

- **Self-led audit and award review modules**
- **Workshop close webinar**

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